ASSISTANT PROFESSOR EXAM — 2024

Economics • Second Paper

UNIT 5

Public Finance

सार्वजनिक वित्त

1. **Private, Public & Merit Goods; Budget, Zero-Base Budgeting; Public Goods & Taxation per Kautilya; Latest Central & MP Budget**
2. **Theories of Public Expenditure & its effects on saving, investment, growth**
3. **Theories & Types of Taxation; Impact, Incidence, Effects; GST 2.0 — genesis & superiority**
4. **Public Debt — concept, merits, demerits; Revenue & Expenditure trends of Centre & MP; Centre-State Financial Relations**
5. **Fiscal Policy & Fiscal Reforms in India; Financial Sources of State & Local Self-Government**

Very Extensive Notes • Diagrams • Definitions • GST 2.0 • Numericals • Latest Budget Data

English notes with Hinglish explanations • Updated June 2026

Contents & How to Use

Yeh Unit 5 (Public Finance) ke **har syllabus point** ko cover karte hain — even more detail ke saath. Diagrams, exam-ready definitions, **numerical examples**, ek dedicated **GST 2.0** section, aur **latest Central + Madhya Pradesh budget data (2025-26 & 2026-27)** included hai. Language mostly English; tough parts Hinglish mein.

#	Topic	Focus
A	**Meaning, Scope & Nature of Public Finance**	Dalton, public vs private finance, the "fisc"
B	**Private, Public & Merit Goods**	Rivalry, excludability, free-rider, market failure
C	**Public Goods & Taxation in Kautilya**	Arthashastra; ancient Indian fiscal thought
D	**Budget & Zero-Base Budgeting**	Types, components, deficits, ZBB, performance budget
E	**Latest Central & MP Budget (2026-27)**	Key figures, deficits, GYANII framework
F	**Theories of Public Expenditure**	Wagner, Peacock-Wiseman, canons, effects
G	**Theories & Types of Taxation**	Benefit vs ability, direct/indirect, canons
H	**Impact, Incidence & Effects of Tax**	Shifting, elasticity, who really pays
I	**GST — Genesis & Superiority (detailed)**	Dual model, slabs, GST 2.0, GST Council
J	**Public Debt**	Concept, classification, merits, demerits, burden
K	**Centre-State Financial Relations**	Finance Commission, 16th FC, fiscal federalism
L	**Fiscal Policy & Fiscal Reforms in India**	Instruments, FRBM, 1991 onwards
M	**Finance of State & Local Self-Government**	Sources, 73rd/74th Amendments, MP
N	**Numerical Examples & Formulas**	Deficits, incidence, multiplier, devolution
O	**Quick Revision & Likely Questions**	One-liners + previous-year style Q&A;

A. Meaning, Scope & Nature of Public Finance

Public Finance = the branch of economics that studies the **income (revenue), expenditure and debt operations of the government** (public authorities), and the effects of these on the economy. Hugh Dalton: "Public finance is concerned with the **income and expenditure of public authorities**, and with the adjustment of one to the other."

Why study it? (Musgrave's 3 functions of the public household)
(i) Allocation — provide public goods the market won't (defence, roads). **(ii) Distribution** — reduce inequality via taxes & transfers. **(iii) Stabilisation** — manage inflation, unemployment & growth through fiscal policy. Richard Musgrave's framework is the backbone of modern public finance.

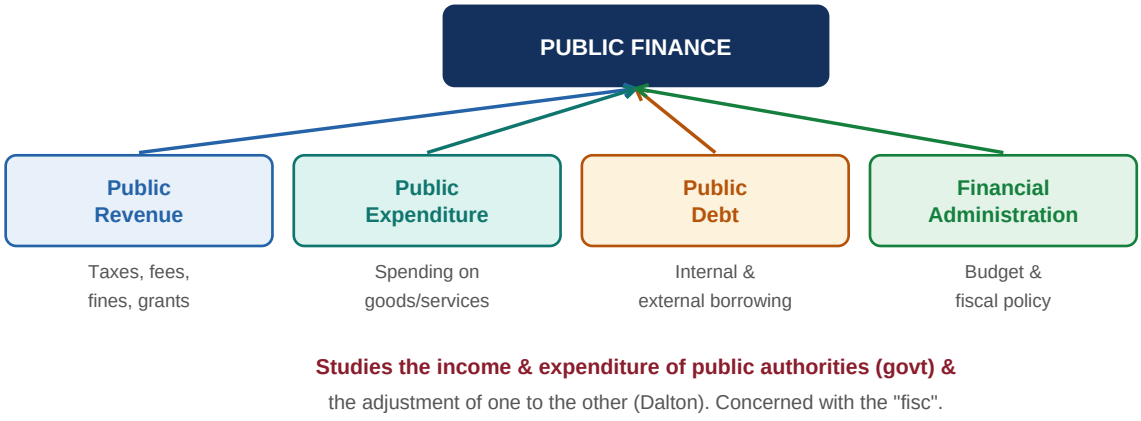


Fig A.1 — The four divisions that make up the scope of Public Finance

Public Finance vs Private Finance (important comparison)

Basis	Public Finance	Private Finance
Income-expenditure	Govt first decides expenditure, then arranges income ("adjust income to expenditure").	Individual adjusts expenditure to income.
Objective	Maximise social welfare.	Maximise personal/private benefit.
Borrowing	Can borrow from itself (internal debt) & print money.	Cannot borrow from itself or print money.
Budget type	Deficit budget often desirable (counter-cyclical).	Surplus/balanced budget preferred.
Secrecy	Public, transparent, audited (CAG).	Private & confidential.
Elasticity	Income highly elastic (can raise taxes/loans).	Income relatively inelastic.

B. Private, Public & Merit Goods

Goods ko teen categories mein baant sakte hain — yeh decide karta hai ki market provide karega ya government. Do key properties: **Rivalry** (kya ek ka consumption doosre ke liye available quantity ghatata hai?) aur **Excludability** (kya non-payers ko roka ja sakta hai?).



Fig B.1 — Private, public & merit goods and why public goods cause market failure

Type	Rivalry	Excludable?	Provider & Example
Private good	Rival	Yes	Market; bread, car, clothes
Public good	Non-rival	No	Govt; national defence, street light, lighthouse
Merit good	Rival (partly)	Yes	Govt-encouraged; education, healthcare, vaccination
Club/common	Mixed	Mixed	Toll road (club); fishery (common-pool)

- **Free-rider problem**: kyunki public good se non-payers ko exclude nahi kar sakte, koi voluntarily pay nahi karega → market under-produces → **market failure** → government must step in.
- **Merit goods** (Musgrave): socially desirable but **under-consumed** if left to individuals (people undervalue future benefits). Govt subsidises/provides them. Opposite = **demerit goods** (alcohol, tobacco) — taxed/discouraged.
- **Externalities** link here: merit goods have positive externalities (educated society benefits all); demerit goods negative externalities — corrected via **Pigouvian taxes/subsidies**.

KEY TERMS / परिभाषाएँ

Non-rivalry	Ek vyakti ka consumption doosre ke liye available amount kam nahi karta.
Non-excludability	Non-payers ko consume karne se roka nahi ja sakta.
Free-rider	Jo bina pay kiye public good ka benefit leta hai.
Merit good	Socially beneficial good jo market mein under-consumed hota hai (Musgrave).

C. Public Goods & Taxation in Kautilya's Arthashastra

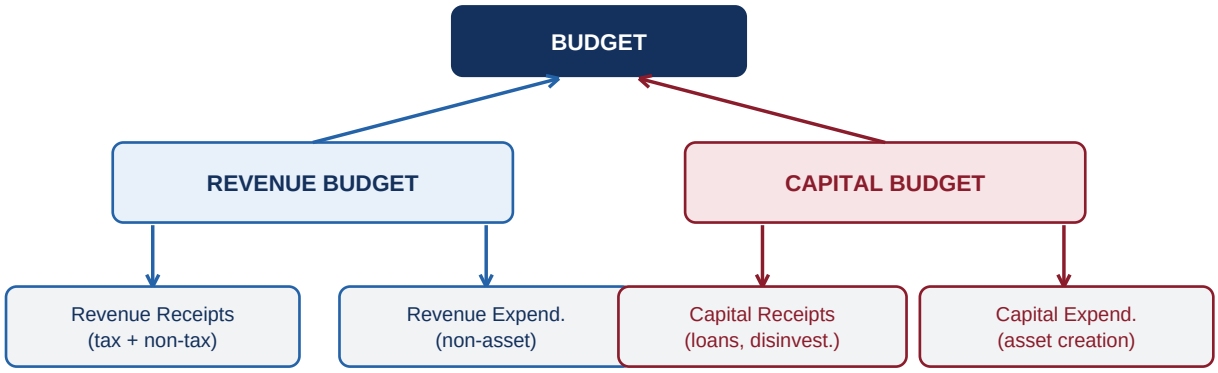
Kautilya (Chanakya), ~4th century BCE, ka **Arthashastra** ancient India ka comprehensive treatise on statecraft & public finance hai. Western thinkers se hazaar saal pehle usne sound fiscal principles diye.

- **Kosha-moolo dandah** — "the treasury (kosha) is the root of administration." A strong treasury is the foundation of the state's power & welfare.
- **Taxation principle**: tax should be like a **bee collecting nectar** without harming the flower, or a **calf drinking only as much milk as needed** — i.e. moderate, non-oppressive, sustainable. Anticipates Adam Smith's canon of **convenience & economy**.
- Advocated taxes ~**1/6 of produce** (shadbhaga) on agriculture; varied rates by sector; tax exemptions for new settlements & calamities (anticipates equity & ability-to-pay).
- **Public expenditure** on irrigation, roads, forts, public welfare, famine relief — early idea of the state providing **public goods** and **social overhead capital**.
- Detailed **budgeting, accounting & audit** system (Akshapatala = audit office) to prevent embezzlement — 40 ways of embezzlement listed!

Exam angle
Syllabus mein "**Taxation as per Kautilya**" & "Economic Thought of Manu, Brahaspati and Kautilya" (Unit 1) dono jagah aata hai. Key line yaad rakhein: **taxation should be moderate, certain, convenient & welfare-oriented** — the treasury exists to serve the people (yogakshema).

D. Budget & Zero-Base Budgeting

Budget = an annual financial statement (Art. 112 for Union) of the government's **estimated receipts and expenditure** for a financial year (1 April–31 March). "Budget" comes from French *bougette* (a leather bag).



Fiscal Deficit = Total Expenditure - Total Receipts (excl. borrowings)

Revenue Deficit = Revenue Exp - Revenue Receipts

Primary Deficit = Fiscal Deficit - Interest Payments

Balanced / Surplus / Deficit budget; FRBM Act 2003 sets deficit targets

Fig D.1 — Structure of the budget & the three key deficit concepts

Components of the budget

- **Revenue Budget**: (i) **Revenue receipts** — tax (income tax, GST) + non-tax (interest, dividends, fees). (ii) **Revenue expenditure** — recurring, no asset created (salaries, subsidies, interest).
- **Capital Budget**: (i) **Capital receipts** — borrowings, disinvestment, loan recoveries. (ii) **Capital expenditure** — asset creation (roads, buildings, loans to states).

Types of budget

- **Balanced** (receipts = expenditure), **Surplus** (receipts > exp), **Deficit** (exp > receipts).
- Classical economists favoured **balanced budgets**; Keynes argued **deficit budgets** are needed in recession to boost demand (counter-cyclical fiscal policy).

Key deficit concepts (must-know formulas)

Deficit formulas

• **Revenue Deficit** = Revenue Expenditure – Revenue Receipts
• **Fiscal Deficit** = Total Expenditure – Total Receipts (excluding borrowings) = measures total borrowing requirement
• **Primary Deficit** = Fiscal Deficit – Interest Payments
• **Effective Revenue Deficit** = Revenue Deficit – Grants for creation of capital assets

Zero-Base Budgeting (ZBB)

- Introduced by **Peter Pyhrr** (Texas Instruments); popularised by US President **Jimmy Carter**.
- Har year budget **"zero" se** banta hai — previous year ke figures ko base nahi maana jaata. **Every** expenditure must be re-justified from scratch.
- **Advantages**: eliminates wasteful/obsolete schemes, links spending to objectives, improves efficiency.
- **Disadvantages**: time-consuming, paperwork-heavy, hard for non-quantifiable items. India ne 1986-87 mein experiment kiya.

Budget technique	Core idea
Traditional/Line-item	Lists items of expenditure; incremental over last year. Control-oriented.
Performance budget	Links spending to outputs/functions & objectives (input-output).
Zero-Base (ZBB)	Every item justified from zero each year; decision packages ranked.
Outcome budget	Measures final outcomes/impact, not just outputs (India since 2005-06).
Gender budget	Analyses budget's differential impact on women (India since 2005-06).

E. Latest Central & Madhya Pradesh Budget Data

Syllabus specifically **"Latest Central and State Budget of Madhya Pradesh"** maangta hai. Neeche ke figures exam ke liye yaad rakhein (as of the 2026-27 budgets).

Madhya Pradesh Budget 2026-27 (presented Feb 2026, FM Jagdish Devda)

Indicator	2025-26 (BE)	2026-27 (BE)
Total budget size	~Rs 4.21 lakh cr	Rs 4.38 lakh crore (record)
Total expenditure (excl. debt repay)	Rs 3,75,335 cr	Rs 3,88,923 cr (+10%)
Receipts (excl. borrowings)	Rs 2,96,435 cr	Rs 3,17,465 cr (+14%)
GSDP (current prices)	Rs 16,94,477 cr	Rs 18,48,274 cr
Fiscal deficit	4.7% of GSDP (Rs 78,900 cr)	3.9% of GSDP (Rs 71,458 cr)
Revenue balance	Surplus Rs 618 cr	Surplus Rs 44 cr
Capital outlay	~Rs 73,000 cr	Rs 78,920 cr (+8%)

MP Budget 2026-27 — qualitative highlights

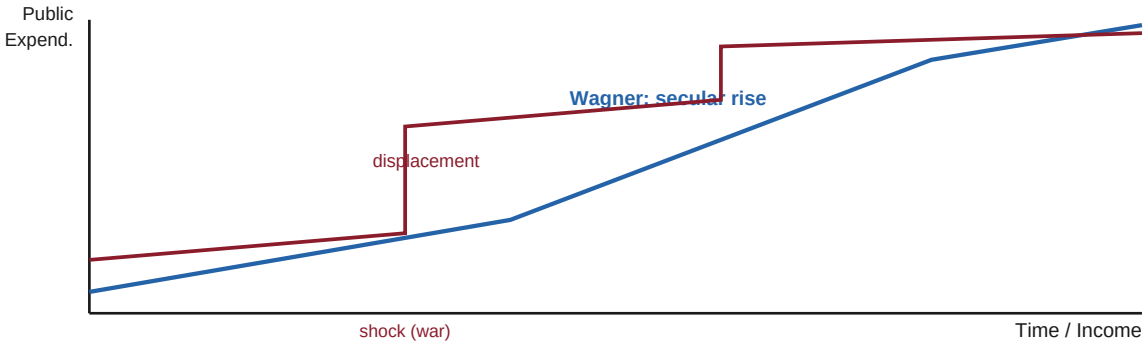
• Theme: **"Samriddh Madhya Pradesh @2047"** with the **GYANII** framework (**G**arib, **Y**uva, **A**nnadata, **N**ari, **I**ndustry & **I**nfrastructure).
• **No new taxes**; existing rates unchanged.
• ~Rs 1.27 lakh crore for **women-focused schemes** (incl. Ladli Behna Yojana).
• **Garib Kalyan Mission** + an MPI-based (Multidimensional Poverty Index) targeting approach.
• Infrastructure = "engine of state's progress."

Union Budget context (for comparison)

- Union Budget is presented on **1 February** (advanced from end-Feb since 2017; rail budget merged since 2017).
- The **FRBM Act 2003** target path guides the Centre's fiscal deficit (medium-term goal ~4.5% of GDP).
- The **16th Finance Commission** report (2026-31, Chair: **Arvind Panagariya**) was tabled alongside the Union Budget 2026-27, retaining states' share at **41%** of the divisible pool.

F. Theories of Public Expenditure

Public expenditure = government spending on goods, services, transfers & debt servicing. 20th century mein iska size dramatically badha — "the growth of the public sector."



Wagner's Law: state activity grows with development | Peacock-Wiseman: war/crisis shifts spending up permanently (displacement, inspection, concentration effects)

Fig F.1 — Wagner's secular rise vs Peacock-Wiseman's displacement (step) effect

Major theories / laws

- **Wagner's Law of Increasing State Activity** (Adolph Wagner): as an economy develops & per-capita income rises, the **relative size of the public sector grows** (administration, welfare, regulation). A long-run (secular) upward trend.
- **Peacock-Wiseman Hypothesis** (displacement effect): public expenditure rises in a **step-like** fashion, not smoothly. During crises (war), spending jumps up (**displacement effect**); people accept higher taxes (**inspection effect**); after the crisis spending does **not** fall back fully (**concentration effect** — central govt grows).
- **Wiseman-Peacock + Pigou & Dalton**: principle of **Maximum Social Advantage** — govt should spend up to where **Marginal Social Benefit (of expenditure) = Marginal Social Sacrifice (of taxation)**.

Maximum Social Advantage (Dalton-Pigou) — key principle

Optimum size of the budget is where **Marginal Social Benefit (MSB) of public expenditure = Marginal Social Sacrifice (MSS) of taxation**. Beyond this point, extra taxation hurts more than extra spending helps. (Analogous to MU=MC in consumer theory.)

Classification & effects of public expenditure

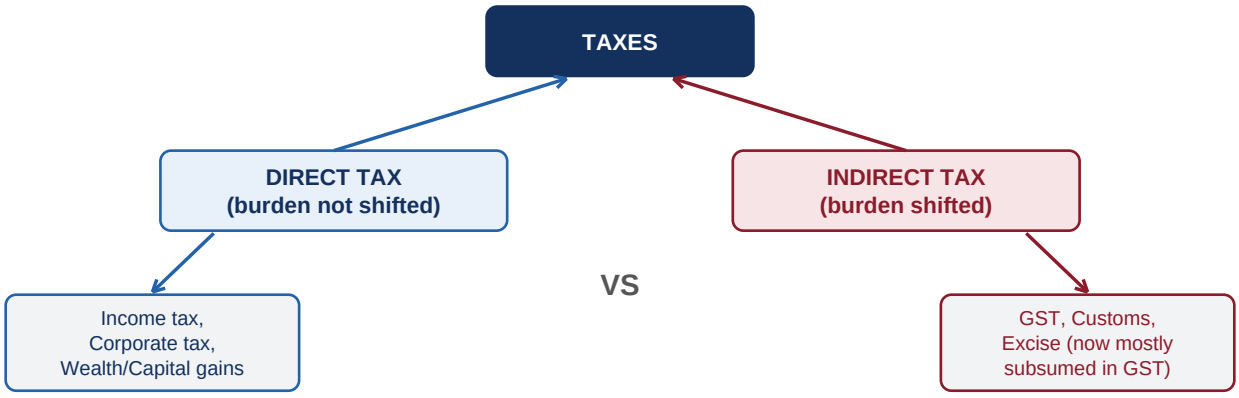
- **Revenue vs Capital**; **Plan vs Non-plan** (this distinction abolished in 2017); **Developmental vs Non-developmental**; **Transfer vs Non-transfer** (Pigou).
- **Effects on the economy**: on **production** (infra & human capital raise productivity), on **distribution** (transfers reduce inequality), on **economic stability** (counter-cyclical), and on **saving & investment** (crowding-in via infra, or crowding-out if it raises interest rates).

G. Theories & Types of Taxation

Tax = a **compulsory** payment to the government, with **no direct quid pro quo** (no direct return to the payer). Taxes are the primary source of public revenue.

Theories of tax equity (how should burden be shared?)

- **Benefit Principle**: pay tax in proportion to benefits received from the state (Lindahl, Wicksell). *Problem*: public goods' benefits can't be individually measured; can't tax the poor for using welfare.
- **Ability-to-Pay Principle** (J.S. Mill, Pigou): pay according to capacity, measured by income/wealth/consumption. Basis of **progressive taxation**. Linked to **equal sacrifice** theories (equal absolute / proportional / marginal sacrifice).
- **Cost-of-Service Principle**: charge the cost of providing the service (works for fees, not general taxes).



Progressive (rate rises with income) | Proportional (flat) | Regressive (rate falls)

Canons of taxation (Adam Smith): Equality, Certainty, Convenience, Economy

+ Productivity, Elasticity, Flexibility, Simplicity, Diversity (modern canons)

Fig G.1 — Classification of taxes and the canons of taxation

Types of taxes

Basis	Types & meaning
Shiftability	**Direct** (impact = incidence, e.g. income tax, corporate tax) vs **Indirect** (burden shifted, e.g. GST, customs).
Rate structure	**Progressive** (rate ↑ with income), **Proportional** (flat rate), **Regressive** (rate ↓ as income ↑), **Digressive** (progressive up to a limit).
Base	Income tax, wealth tax, expenditure/consumption tax, capital gains tax.
Quantum	**Specific** (per unit/quantity) vs **Ad valorem** (% of value).

Canons of Taxation (Adam Smith's 4 + modern additions)

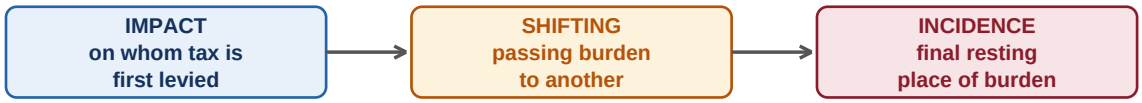
Adam Smith's 4 canons: (1) **Equality** (ability to pay) (2) **Certainty** (amount/time/manner clear) (3) **Convenience** (easy time & manner to pay) (4) **Economy** (low collection cost). **Modern additions**: Productivity, Elasticity, Flexibility, Simplicity, Diversity, Neutrality.

Progressive vs Proportional vs Regressive (key debate)

- **Progressive** is favoured on **equity** grounds (ability to pay, reduces inequality) & follows the law of diminishing marginal utility of income.
- **Indirect taxes are inherently regressive** (poor spend a larger share of income on consumption) — GST tries to soften this with lower/nil rates on essentials & higher rates on luxuries.

H. Impact, Incidence & Effects of Taxation

Yeh teen concepts often confuse karte hain — clearly distinguish karna exam mein crucial hai.



Forward shifting -> to consumer (higher price); Backward shifting -> to supplier/labour

Degree of shifting depends on ELASTICITY of demand & supply

Inelastic demand -> burden mostly on CONSUMER; Elastic demand -> burden on PRODUCER

Effect = wider economic consequences (on output, saving, work effort)

Fig H.1 — Impact → Shifting → Incidence, governed by elasticity

Concept	Meaning
Impact	The point where the tax is **first imposed / legally levied** (the person who initially pays).
Shifting	The **process** of transferring the tax burden to someone else (forward or backward).
Incidence	The **final resting place** of the tax burden — who ultimately bears it.
Effect	The **wider consequences** on production, consumption, saving, work effort, distribution.

Role of elasticity (the decisive factor)

- **Forward shifting** = burden passed to the **consumer** (via higher price). **Backward shifting** = passed back to **suppliers/labour** (lower input prices/wages).
- **Inelastic demand** (necessities, addictive goods) → consumer can't avoid → burden falls mostly on the **buyer**. **Elastic demand** → sellers must absorb more → burden on the **seller**.
- **Inelastic supply** → producers bear more; **elastic supply** → consumers bear more.
- **Rule**: the burden falls more heavily on the side of the market that is **more inelastic** (less able to escape).

Worked example (see also Section N)
A Rs 10/unit tax on cigarettes (very inelastic demand): price rises by ~Rs 9, so the **consumer bears ~90%** of the burden — that's why 'sin goods' are heavily taxed (revenue is stable, and the burden sticks to consumers).

I. GST — Genesis, Structure & Superiority (Detailed)

GST (Goods and Services Tax) = a comprehensive, multi-stage, **destination-based indirect tax** levied on **value addition**. "**One Nation, One Tax, One Market.**" India's biggest indirect-tax reform.

Genesis (history)

- Idea proposed by the **Kelkar Task Force (2003-04)**; first announced in Budget 2006-07 (target 2010).
- Enabled by the **101st Constitutional Amendment Act, 2016** (inserted Art. 246A, 269A, 279A).
- Rolled out from **1 July 2017** (midnight Parliament session). Subsumed ~17 central & state taxes (excise, service tax, VAT, CST, octroi, entry tax, luxury tax, etc.).

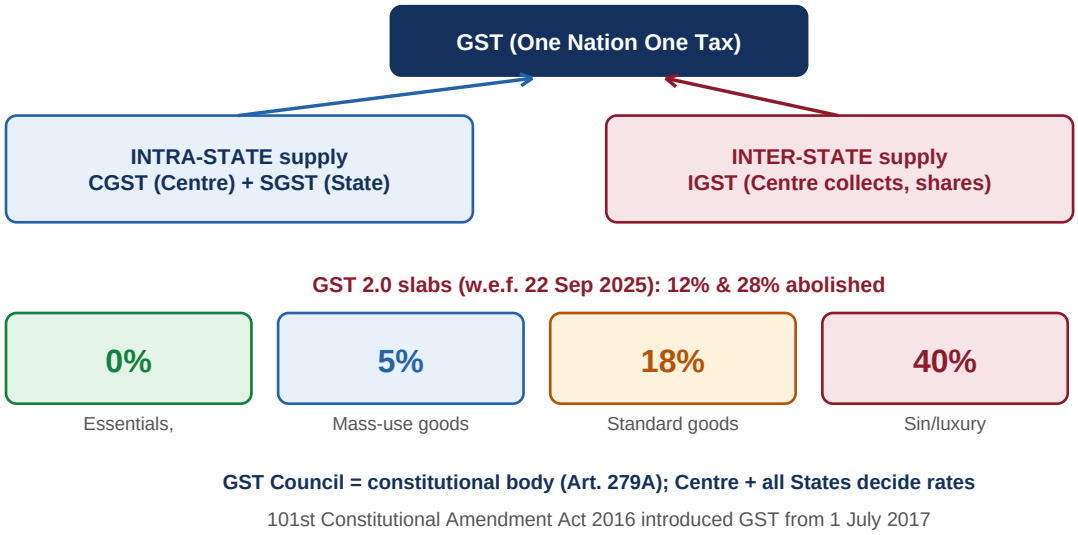


Fig I.1 — Dual GST model, the GST 2.0 slabs, and the GST Council

Structure — the dual model

- **Intra-state** supply: **CGST** (Centre) + **SGST** (State) levied together.
- **Inter-state** supply (& imports): **IGST** (collected by Centre, then shared with the destination state).
- **Destination-based**: tax accrues to the state where goods/services are **consumed**, not produced.
- **Input Tax Credit (ITC)**: tax paid on inputs is credited against tax on output → removes the **"cascading" (tax-on-tax)** effect — the core efficiency gain of GST.

GST 2.0 — the 2025 rationalisation (latest)

Slab	Applies to
0% (Nil)	Essential food, Indian breads, UHT milk, life-saving drugs, education, individual health/life insurance.
5%	Mass-consumption goods, basic foods, agri products, healthcare items, most medicines.
18%	Standard goods & services, most electronics, small cars, appliances, B2B services.
40%	Sin & luxury goods: pan masala, tobacco, aerated drinks, luxury vehicles.

- The **56th GST Council meeting (3 Sep 2025)** approved **GST 2.0**, effective **22 Sep 2025**: the **12% and 28% slabs were abolished**, leaving **0%, 5%, 18%, 40%**.
- Goal: simplify slabs, cut classification disputes, lower essentials' cost, tax luxuries/sin goods more.

GST Council & superiority

- **GST Council (Art. 279A)**: chaired by the Union FM; members = state FMs. Centre has 1/3 weight, states 2/3; decisions need a 3/4 majority — a model of **cooperative fiscal federalism**.
- **Superiority over old system**: removes cascading (via ITC), creates a **unified national market**, improves **compliance** (technology/GSTN, e-invoicing, e-way bills), widens the **tax base**, boosts logistics efficiency (no inter-state check-post delays), and improves **transparency**.
- **Criticisms**: multiple slabs (vs a single 'GST' ideal), compliance burden on small firms, revenue uncertainty for states (compensation cess issue), petroleum/alcohol still outside GST.

KEY TERMS / परिभाषाएँ

Cascading effect	Tax-on-tax; GST removes it via Input Tax Credit.
Destination-based	Tax accrues where goods/services are consumed, not produced.
ITC	Input Tax Credit — credit for tax already paid on inputs.
GSTN	GST Network — the IT backbone for registration, returns & payments.

J. Public Debt (सार्वजनिक ऋण)

Public debt = the total borrowings of the government to bridge the gap when expenditure exceeds revenue (the fiscal deficit is financed by debt).

Classification of public debt

Basis	Types
Source	**Internal** (from citizens/banks/RBI — no foreign-exchange burden) vs **External** (from abroad/IMF/World Bank).
Repayment	**Redeemable** (repaid on a fixed date) vs **Irredeemable/Perpetual** (no maturity).
Purpose	**Productive/Reproductive** (creates assets, self-liquidating) vs **Unproductive/Deadweight** (war, no asset).
Compulsion	**Voluntary** (bonds) vs **Compulsory** (forced loans, rare).
Term	Short-term (T-bills), Medium-term, Long-term (G-secs).

Merits of public debt

- Finances **development & capital projects** without raising taxes sharply.
- **Counter-cyclical**: in recession, deficit-financed spending revives demand (Keynes).
- **Mobilises idle savings**; an instrument of monetary policy (OMOs); safe investment for the public.
- Internal debt = “we owe it to ourselves” — no net resource transfer abroad.

Demerits / dangers

- **Debt trap**: borrowing to repay old debt → rising **interest burden** crowds out development spending.
- **Crowding-out**: govt borrowing raises interest rates, reducing private investment.
- **Inflation** if monetised (deficit financing via printing money).
- **External debt** burdens future generations & forex; conditionalities from lenders.
- **Burden debate**: classical view (debt burdens future generations) vs Lerner’s view (internal debt has no real burden as it’s a transfer within the same generation).

K. Centre-State Financial Relations

India ek **federal** system hai with a **unitary bias**. Financial powers Constitution ke **7th Schedule** mein divided hain — but there is a structural **imbalance**.

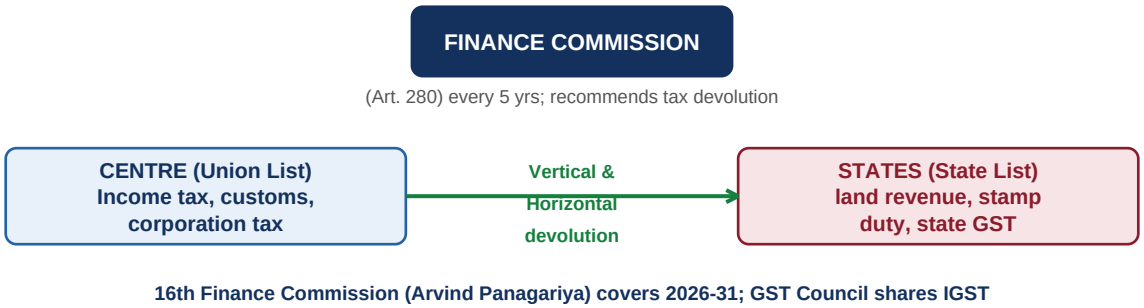


Fig K.1 — Division of financial powers & the role of the Finance Commission

- **Union List**: income tax, corporation tax, customs, IGST. **State List**: land revenue, stamp duty, state GST, taxes on agriculture. **GST** = concurrent (CGST + SGST).
- **Vertical imbalance**: Centre has greater revenue-raising powers; States carry larger spending responsibilities (health, education, police). **Horizontal imbalance**: rich vs poor states differ.
- **Finance Commission (Art. 280)**: constituted every 5 years by the President; recommends (a) **vertical devolution** (Centre→States share of taxes) and (b) **horizontal distribution** (among states) + grants-in-aid.

16th Finance Commission (current — high-value 2026 update)
Chair: **Dr. Arvind Panagariya** (first Vice-Chairman of NITI Aayog). Report tabled in Parliament on **1 Feb 2026**, award period **2026-27 to 2030-31**. Retains states' share of the divisible pool at **41%** (same as 15th FC). Shifts toward **performance/compliance-based** transfers; caps state fiscal deficit at **3% of GSDP**; ends off-budget borrowings.

- Other channels of transfer: **GST Council** (IGST settlement, compensation), centrally-sponsored schemes, grants. **NITI Aayog** replaced the Planning Commission's plan-transfer role (now via Finance Ministry).
- **Article 293**: states need the Centre's consent to borrow if indebted to the Centre.

L. Fiscal Policy & Fiscal Reforms in India

Fiscal policy = the use of **government revenue (taxation) and expenditure** to influence the economy — growth, employment, inflation & distribution. (Monetary policy = RBI; fiscal policy = govt.)

Objectives & instruments

Objective	Fiscal instrument used
Economic growth	Capital expenditure on infra; tax incentives for investment.
Full employment	Public works, deficit financing (Keynesian demand boost).
Price stability	Surplus budget / cut spending in inflation; deficit in recession.
Equity	Progressive taxes + transfers/subsidies to the poor.
Stabilisation	Counter-cyclical: automatic stabilisers + discretionary policy.

Types of fiscal policy

- **Expansionary** (recession): ↑ spending and/or ↓ taxes → higher demand (deficit budget).
- **Contractionary** (inflation/boom): ↓ spending and/or ↑ taxes → cools demand (surplus budget).
- **Automatic stabilisers**: progressive taxes & unemployment benefits adjust on their own; vs **discretionary** policy (deliberate budget changes).

Fiscal Reforms in India (1991 onwards)

- Pre-1991: large deficits, high debt → the **1991 BoP crisis** triggered reforms (LPG).
- **Tax reforms**: lower rates, wider base (Raja Chelliah Committee, Kelkar Committee); MODVAT→CENVAT→**GST (2017)**; introduction of **VAT** (2005) in states.
- **FRBM Act 2003**: legislated fiscal discipline — targets to reduce fiscal & revenue deficits; transparency; medium-term fiscal policy statements. (Targets relaxed during COVID-19.)
- **Expenditure reforms**: subsidy rationalisation, **DBT (Direct Benefit Transfer)** via JAM trinity (Jan Dhan–Aadhaar–Mobile) to cut leakages; outcome budgeting.
- **Disinvestment** of PSUs; abolition of the Plan/Non-plan distinction (2017); merger of rail & general budget (2017).

FRBM Act 2003 — exam favourite

Aim: institutionalise **fiscal discipline**, reduce fiscal deficit, improve macroeconomic management & transparency. Requires the govt to lay **medium-term fiscal policy** statements before Parliament. The **N.K. Singh Committee (2017)** recommended a **debt-to-GDP anchor** (60% combined: 40% Centre + 20% States) and an **escape clause** for shocks.

M. Finance of State & Local Self-Government

Sources of State Government finance

- **Own tax revenue**: State GST (SGST), stamp duty & registration, state excise (liquor), motor-vehicle tax, electricity duty, land revenue, taxes on professions.
- **Own non-tax revenue**: interest receipts, royalties (mining — important for MP), fees, dividends from state PSUs.
- **Central transfers**: share of central taxes (Finance Commission devolution = 41%), grants-in-aid, centrally-sponsored scheme funds.
- **Borrowings**: market loans (State Development Loans), loans from the Centre, NSSF, ways-and-means advances from RBI.

Local Self-Government finance (73rd & 74th Amendments, 1992)

- **73rd Amendment** = rural (Panchayati Raj: Zila Parishad, Panchayat Samiti, Gram Panchayat). **74th Amendment** = urban (Municipalities/Nagar Nigam, Nagar Palika).
- **Sources**: (i) **own taxes** — property/house tax, water & sewerage tax, octroi (mostly abolished), professional tax, market & licence fees; (ii) **grants** from state & the Finance Commission; (iii) **shared taxes**; (iv) loans.
- **State Finance Commission (Art. 243-I & 243-Y)**: every 5 years, recommends devolution of state funds to local bodies — the local-level analogue of the (central) Finance Commission.
- **Problems**: weak own-revenue base, heavy dependence on grants, poor tax collection, limited autonomy — the “3 Fs” (Funds, Functions, Functionaries) often not fully devolved.

Madhya Pradesh angle

MP relies heavily on **mining royalties** (coal, limestone, diamond), **state excise**, and **central devolution**. As a relatively lower-income state, MP receives a **larger share of horizontal devolution** (need/equity-based criteria) and finances flagship welfare (Ladli Behna) partly through borrowings — hence the watch on its fiscal deficit (4.7% → 3.9% of GSDP).

N. Numerical Examples & Formulas

Practice numericals — AP exams mein often 1-2 calculation-based ya application questions aate hain.

1. Deficit calculations

Example 1 — Find the deficits

Given (Rs crore): Revenue Receipts = 16,00, Revenue Expenditure = 18,00, Capital Receipts (excl. borrowing) = 2,00, Capital Expenditure = 5,00, Interest Payments = 1,50.

- **Revenue Deficit** = 1800 – 1600 = **Rs 200 cr**
- Total Expenditure = 1800 + 500 = 2300; Total Receipts (excl. borrowing) = 1600 + 200 = 1800
- **Fiscal Deficit** = 2300 – 1800 = **Rs 500 cr**
- **Primary Deficit** = 500 – 150 = **Rs 350 cr**

2. Tax incidence with elasticity

Example 2 — Who bears the tax?

A per-unit tax **t** is split between buyer and seller in the ratio of elasticities:
Buyer's share = Es / (Es + Ed) ; Seller's share = Ed / (Es + Ed)

If Ed (demand) = 0.5 and Es (supply) = 1.5, then Buyer's share = 1.5/2.0 = **75%**, Seller's share = 0.5/2.0 = **25%**. → The more **inelastic** side (here demand) bears more.

3. Government expenditure multiplier

Example 3 — Fiscal (expenditure) multiplier

Multiplier **k = 1 / (1** – **MPC)**, where MPC = marginal propensity to consume.
If MPC = 0.8, then k = 1/(1–0.8) = **5**. A govt spending increase of Rs 1,000 cr raises national income by 1000 × 5 = **Rs 5,000 cr**.
Balanced-budget multiplier = 1 (equal ↑ in spending & taxes still raises income by that amount).

4. Fiscal deficit as % of GSDP (MP example)

Example 4 — Apply to MP 2026-27

Fiscal Deficit (Rs 71,458 cr) / GSDP (Rs 18,48,274 cr) × 100 = **3.87%** ≈ **3.9% of GSDP** — matching the budget target and within the 16th FC's 3% norm trajectory.

O. Quick Revision & Likely Exam Questions

One-line revision bullets

- **Dalton**: PF = income & expenditure of public authorities + their adjustment.
- **Musgrave's 3 functions**: Allocation, Distribution, Stabilisation.
- **Public good** = non-rival + non-excludable → free-rider → market failure.
- **Merit good** = under-consumed; **demerit good** = over-consumed (taxed).
- **Kautilya**: treasury is root of administration; tax like a bee (moderate).
- **Deficits**: Revenue = RevExp–RevRec; Fiscal = TotExp–Receipts(excl. borrow); Primary = Fiscal–Interest.
- **ZBB** = Peter Pyhrr / Carter; justify every rupee from zero.
- **Wagner** = secular rise; **Peacock-Wiseman** = displacement/step effect.
- **Max Social Advantage**: MSB(exp) = MSS(tax) — Dalton/Pigou.
- **Adam Smith's canons**: Equality, Certainty, Convenience, Economy.
- **Impact** (first) → **Shifting** → **Incidence** (final); elasticity decides who pays.
- **GST**: 101st Amendment, 1 July 2017; dual CGST+SGST/IGST; GST 2.0 slabs 0/5/18/40% (22 Sep 2025).
- **GST Council** = Art. 279A; **Finance Commission** = Art. 280; **16th FC** = Panagariya, 2026-31, 41%.
- **FRBM Act 2003**; N.K. Singh Committee debt anchor 60% (40+20).
- **73rd/74th Amendments (1992)** + State Finance Commission for local bodies.
- **MP Budget 2026-27** = Rs 4.38 lakh cr; fiscal deficit 3.9% of GSDP; GYANII framework; no new taxes.

Previous-year style questions (practice)

#	Question
Q1.	Define public finance. Distinguish between public and private finance, and explain Musgrave's three functions.
Q2.	Distinguish private, public and merit goods. Why do public goods cause market failure?
Q3.	Explain the principles of taxation in Kautilya's Arthashastra. How modern are they?
Q4.	What is a budget? Explain its components and the concepts of revenue, fiscal and primary deficit.
Q5.	Explain Zero-Base Budgeting. How does it differ from traditional and performance budgeting?
Q6.	Discuss Wagner's Law and the Peacock-Wiseman hypothesis of growth of public expenditure.
Q7.	Explain the canons and theories of taxation. Compare the benefit and ability-to-pay principles.
Q8.	Distinguish impact, incidence and effect of a tax. How does elasticity determine incidence?
Q9.	Examine the genesis, structure and superiority of GST. Discuss the GST 2.0 rationalisation.
Q10.	Discuss the types, merits and demerits of public debt. Is internal debt a burden?
Q11.	Examine Centre-State financial relations and the role of the Finance Commission (with the 16th FC).
Q12.	Discuss fiscal policy as a tool of stabilisation. Evaluate India's fiscal reforms since 1991.
Q13.	Describe the financial sources of state and local self-government in India, with reference to MP.

Exam tip
Public Finance answers mein **formula/diagram + named economist + current example (GST 2.0, 16th FC, MP budget)** zaroor likhein. High-probability: **deficits & their formulas, GST, incidence/elasticity, Finance Commission, FRBM, and MP budget figures**. Numerical questions ke liye formulas ratt lein (Section N).